

August 9, 2026 10:03 PM GMT

China AI Foundation Models | Asia Pacific

Intelligence War Over Price War

WHAT'S CHANGED		
Z.AI CO., LTD. (2513.HK)		
Price Target	From HK\$990.00	To HK\$1,700.00
MiniMax (0100.HK)		
Price Target	HK\$1,100.00	HK\$900.00

We view China’s LLM industry as building a healthier commercialization environment—as opposed to the market consensus that China’s open-weight models will drive commoditization and a price war.

We see China LLMs accelerating commercialization in a positive way, from price competition to intelligence-driven monetization. Three shifts underpin our view. First, pricing is turning more rational, with DeepSeek’s latest API price increase signaling improving industry pricing discipline. Second, open-weight monetization is tightening as vendors move toward more restrictive licenses and expand from 1P API sales to 3P revenue sharing. Third, model scale is stepping up, with Kimi K3’s 2.8T and Qwen3.8-Max’s 2.4T parameters marking China’s entry into the large-parameter era. As frontier models scale, rising requirements for capital, compute, infrastructure optimization and engineering execution should widen competitive moats, favoring well-resourced leaders and accelerating industry consolidation. Together, we believe these trends point to better monetization, higher barriers to entry and further industry consolidation.

Intelligence, not price, remains the ultimate moat: Frontier players can move down-market with cheaper models; average-model vendors face a much harder path moving up to SOTA. As training and compute requirements rise, we believe winners will increasingly be those that can sustain the flywheel of better models → stronger monetization → more funding and compute → greater model investment. Commercialization and AGI are therefore complementary, in our view: better monetization funds intelligence, while better intelligence drives monetization.

Stock views: Within our coverage, we see this flywheel forming faster at **Z.ai**: GLM-5.2, improving compute access and fresh financing support stronger growth, driving our 2026 ARR estimate to US\$2bn and PT to HK\$1,700. We remain constructive on **MiniMax**, with the upcoming M3 update and 2-3T M3 Pro as key catalysts, but see a more back-end-loaded growth trajectory; we maintain our US\$1bn 2026 ARR forecast and lower our PT to HK\$900. Although we are positive in China LLMs’ competitive dynamics, we lower our bear case multiples to reflect possibilities of intensified competition whereby global peers launch better models with lower prices. We also raise 2027e R&D expenses above US\$1bn for both companies to reflect much higher investment needed for training large parameter models. We are also bullish on **Alibaba** for its full AI stack and advantages in compute, with multiyear cloud growth and intact margin expansion.

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GREATER CHINA IT SERVICES AND SOFTWARE

Asia Pacific

Industry View

In-Line

Related reading: [Global Thematics: Weighing In: Open-Weights Models & 3 States of the World \(3 Aug 2026\)](#)

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Investment Thesis

We are bullish on China LLM pricing trends. On 8 August, DeepSeek announced a significant API price increase, marking a notable shift for a vendor that has historically combined competitive performance with industry-low pricing. We see three likely drivers: 1) strong demand for V4 models supporting greater pricing power; 2) the need to balance market-share gains with healthy gross margins to fund continued frontier-model investment; and 3) potentially higher inference costs from greater use of domestic chipsets. We see this as a positive signal for industry pricing discipline: price wars are unlikely to be a sustainable competitive strategy. As model intelligence and scale continue to improve, we expect pricing for new Chinese LLMs to trend higher, with competition increasingly shifting from price to capability and capacity.

More importantly, **we believe model intelligence—not price—is the key determinant of long-term competitive positioning in LLMs.** As discussed in [More Bang For The Buck \(27 Apr 2026\)](#), we expect the LLM market to bifurcate into a high-end segment, differentiated by frontier-level intelligence, and a low-end segment, where model capabilities are increasingly comparable and price competition is more intense. However, we do not believe these two segments will necessarily be served by different vendors. Frontier model developers can relatively easily offer lower-cost, lower-capability variants to address the mass market, while the reverse—moving from an average model to the frontier—is considerably more difficult.

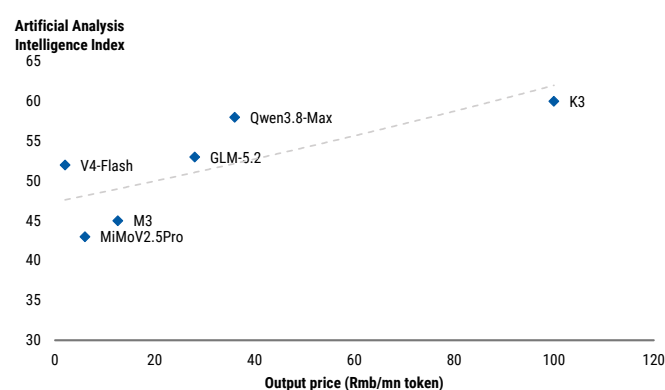
This asymmetry matters because sustaining frontier intelligence requires continuous and substantial investment in model training. In our view, pursuing market share primarily through aggressive pricing of lower-tier models could therefore be a risky strategy at this stage of the industry. Lower gross margins may constrain internally generated funding for frontier model development, while a weaker technology position could also make external financing more difficult to secure. **We therefore view commercialization and the pursuit of AGI as complementary rather than separate objectives:** commercialization provides the financial resources required to sustain investment at the frontier, while frontier capabilities underpin long-term monetization and competitive differentiation.

Exhibit 1: China frontier LLM comparison

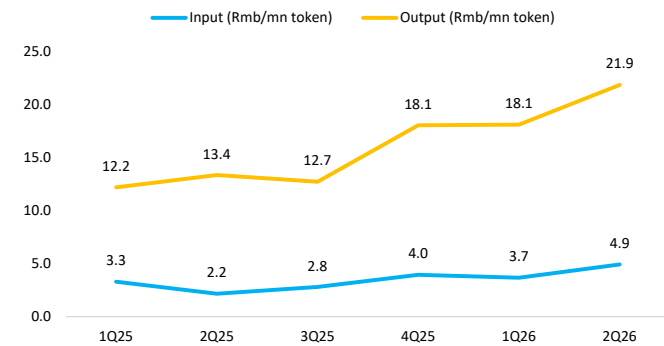
AI lab	Alibaba	MiniMax	Z.ai	Moonsht	DeepSeek	Xiaomi
Model	Qwen3.8-Max	M3	GLM-5.2	K3	V4-Flash	MiMoV2.5Pro
Release date	Aug-26	Jun-26	Jun-26	Jul-26	Jul-26	Apr-26
License	Open Weight	Open Weight	Open Weight	Open Weight	Open Weight	Open Weight
Total parameter (B)	2400	428	754	2800	284	1000
Context window (K)	1000	1000	1000	1000	1000	1000
API price (Rmb/mn tokens)						
Input (uncached)	12.00	3.15	8.00	20.00	1.00	3.00
Input (cached read)	1.50	0.63	2.00	2.00	0.02	0.03
Output	36.00	12.60	28.00	100.00	2.00	6.00
AA Intelligence Index	58	45	53	60	52	43

Source: Company data, Morgan Stanley Research

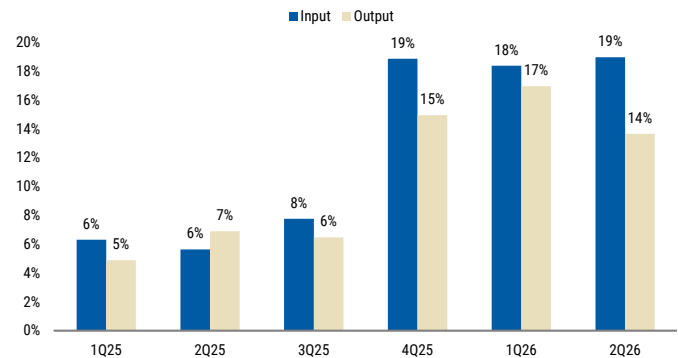
Exhibit 2: China frontier LLM price vs. intelligence



Source: Artificial Analysis, company data, Morgan Stanley Research

Exhibit 3: China LLMs average API pricing

Source: Company official listing price (incl. Bytedance, Alibaba, Baidu, Tencent, MiniMax, Z.ai, Moonshot and DeepSeek); Morgan Stanley Research

Exhibit 4: China LLMs average API pricing as % of US peers

Source: Company official listing price (incl. Bytedance, Alibaba, Baidu, Tencent, MiniMax, Z.ai, Moonshot and DeepSeek); Morgan Stanley Research

Commercialization accelerating: tighter open-weight licenses and a shift from 1P to 3P monetization. Chinese LLMs have historically been associated with permissive open-weight models, with Apache 2.0/MIT (L1) licenses allowing broad third-party deployment and commercialization. As model capabilities improve, however, we see vendors increasingly migrating toward more restrictive L2/L3 licenses that retain open weights while limiting commercial usage. For example, Moonshot's K3 license requires MaaS providers generating >US\$20mn in annual revenue from model distribution to negotiate separate commercial terms, while Reuters (Aug 7) reported that Alibaba may introduce revenue-sharing requirements for large-scale users of future open-weight Qwen models.

We see this as another positive monetization signal for the China LLM industry. Tighter licenses could extend monetization beyond direct API sales (1P) toward revenue sharing with CSPs and model aggregators (3P), expanding the addressable ARR pool beyond the compute capacity owned or rented by LLM vendors themselves.

Exhibit 5: AI foundation model license categories

Level	License Category	Definition	Weights Available	Commercial Use	Fine-tuning / Derivatives	Redistribution	MaaS / API Commercialization	Key Restrictions
L1	Permissive Open Source	Model weights are released under standard permissive licenses such as Apache 2.0 or MIT, allowing unrestricted commercial use, modification and redistribution subject to limited license requirements.	Yes	Yes	Yes	Yes	Yes	Minimal restrictions; typically requires retention of copyright/license notices; Apache 2.0 also includes explicit patent provisions
L2	Commercial Open-weight	Model weights are publicly available and commercial use is generally permitted, but custom license terms may impose revenue, scale, attribution, redistribution or MaaS-related restrictions.	Yes	Yes, with conditions	Yes	Yes, with conditions	Yes, with conditions	May include revenue, user-scale, attribution, redistribution, usage, or MaaS restrictions
L3	Non-commercial Open-weight	Model weights are publicly available for research or non-commercial use, while commercial deployment requires separate authorization or a commercial license.	Yes	No, unless separately licensed	Yes, for permitted non-commercial purposes	Usually limited	No, unless separately licensed	Commercial use is prohibited or requires separate authorization from the model provider
L4	Closed / API-only	Model weights are not publicly available; third parties access the model primarily through first-party or authorized APIs and products.	No	Yes, through approved services/APIs	Generally no	No	Yes, through provider API	No access to model weights; usage governed by provider terms, API policies and pricing

Source: Morgan Stanley Research

Exhibit 6: Major open-weight LLM licenses

Company	Model	License	Level	Commercial Use	Key Restriction
DeepSeek	DeepSeek-V3.2	MIT	L1	Yes	None beyond standard MIT requirements
DeepSeek	DeepSeek-V4-Flash	MIT	L1	Yes	None beyond standard MIT requirements
DeepSeek	DeepSeek-V4-Pro	MIT	L1	Yes	None beyond standard MIT requirements
Z.ai	GLM-5.1	MIT	L1	Yes	None beyond standard MIT requirements
Z.ai	GLM-5.2	MIT	L1	Yes	None beyond standard MIT requirements
Moonshot	Kimi K2.6	Modified MIT	L2	Yes	Branding required above 100m MAU or US\$20m monthly revenue
Moonshot	Kimi K3	Kimi K3 License	L2	Yes, with conditions	Large MaaS operators (>US\$20m group revenue / 12 months) require separate agreement; branding required above scale thresholds
MiniMax	MiniMax M2.7	Non-commercial License	L3	No, unless authorized	All commercial use requires prior written authorization
MiniMax	MiniMax M3	MiniMax Community License	L2	Yes, with conditions	Commercial attribution + notice; >US\$20m annual product/service revenue requires authorization
Alibaba	Qwen3.8-Max	TBD	TBD	TBD	Open-weight release announced; official license not yet verified

Source: Company data, Morgan Stanley Research

Views on open-weight models: more adoption, not less compute. We believe investor concerns that cheaper, more efficient open-weight models could structurally reduce AI infrastructure demand are overstated. Instead, lower inference costs should drive higher usage through Jevons Paradox, accelerating AI diffusion. Adoption is already meaningful—63% of surveyed enterprises use open models alongside closed models—though deployments remain concentrated in use cases requiring high frequency, customization or data control.

Open weights offer compelling economics, customization and deployment flexibility, but are not “free”: hosting, fine-tuning, engineering, security and liability remain meaningful costs. We therefore expect open and closed models to coexist rather than converge to a winner-takes-all market, driving an increasingly multi-model enterprise stack and creating incremental value for routing, orchestration, observability, governance and security.

(Please refer to [Global Thematics: Weighing In: Open-Weights Models & 3 States of the World \(3 Aug 2026\)](#) for more details on open-weight models).

Chinese LLMs are entering the large-parameter era—raising the competitive bar.

Through 1H26, Chinese open-weight LLMs generally remained below 1T total parameters. This began to change in July 2026, when Kimi K3 launched with 2.8T parameters, becoming the first major Chinese open-weight model to cross the 2T threshold. Its strong performance globally provides further evidence that scaling remains an effective path to improving model intelligence. We expect 2-3T parameters to increasingly become the baseline for frontier Chinese models in 2H26, with several large-scale launches potentially ahead, including MiniMax M3 Pro in Sep-Oct, Zhipu’s next-generation GLM model in October, and potentially Alibaba’s Qwen4. Media reports (LatePost, Aug 6) also suggest ByteDance is exploring a 5T+ parameter model.

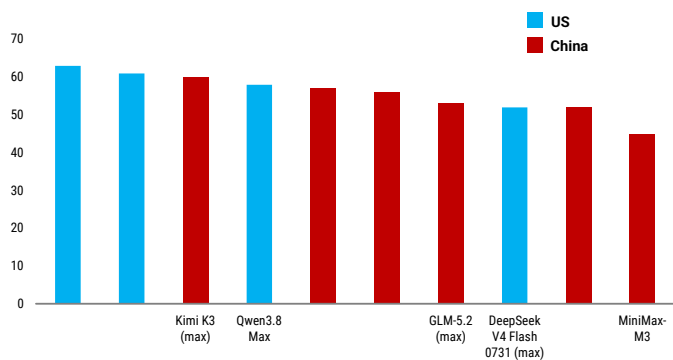
Exhibit 7: Upcoming LLM pipeline



Source: Company data, Morgan Stanley Research

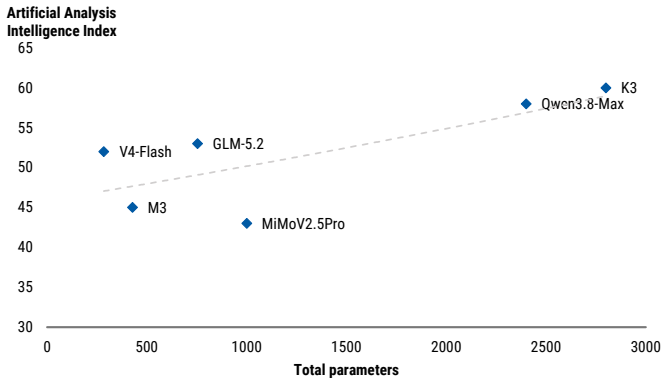
Bigger models, higher barriers: Contrary to the view that LLMs face limited barriers to entry, we believe the transition toward larger models—particularly those with higher active parameter counts—should widen the competitive moat. Scaling requires not only greater training investment and compute, but also stronger capabilities in inference efficiency and infrastructure optimization. In our view, this increasingly tests vendors across model know-how and architectural judgment, systems engineering, organizational execution, financing and compute sourcing. As frontier model sizes continue to scale, the capital and execution requirements should rise accordingly, favoring well-resourced leaders and driving further consolidation of the LLM market.

Exhibit 8: Global SOTA model intelligence index ranking



Source: Artificial Analysis, Morgan Stanley Research

Exhibit 9: China frontier LLM size vs. intelligence



Source: Artificial Analysis, company data, Morgan Stanley Research

Z.ai: Forming the Flywheel

What has been priced in: from China No.1 to Tier 1. Z.ai shares rose c.13x from its January 2026 IPO through early July, significantly outperforming the HSTECH Index's c.14% return over the same period. However, following Kimi K3's launch on 17 July, the stock corrected by >50% at its trough. We attribute much of this volatility to a reset in market expectations around Z.ai's competitive positioning: from perceived China No.1 following GLM-5.2's launch, back to a Tier-1 player after the larger-scale K3 surpassed GLM-5.2 on key performance benchmarks.

We believe the market may be over-emphasizing point-in-time model rankings. The No.1 position has historically rotated even among leading US model developers, and we would expect similar—if not greater—rotation in China as model release cycles accelerate. In our view, the more important question is not whether Z.ai holds the No.1 position at any given point in time, but **whether it can sustain a positive development flywheel: leading model capabilities → stronger user adoption and monetization → greater reinvestment into training and compute together with enhanced financing channels → continued model improvement.** We see the ability to sustain this cycle, rather than temporary benchmark leadership, as the more durable determinant of long-term competitive positioning.

We see Z.ai forming such a flywheel:

1. **World-class model performance:** GLM-5.2 has reached global top LLMs' performance level not just in the benchmarks but also in global developers' community feedbacks, boosting Z.ai from China's to top LLM player to a leading global player. On June 16, Z.ai's Chief Scientist, Jie Tang, stated on X that the company would release a model matching the current best-performing LLM developed by the US before 1Q27, pointing to a rapid iteration trajectory on top of GLM-5.2. We expect Z.ai to reach this target earlier, in Oct 2026, with its large parameter version and return to the SOTA position.
2. **Improving compute supply:** Inference compute has always been a constraint to Z.ai's ARR growth and especially for overseas compute. Recently Z.ai has been in negotiations with AWS, and GLM-5.2 API has been integrated into AWS Marketplace. We expect such 3P business model to further expand to other overseas CSPs and API platforms, tackling overseas compute constraints.
3. **Positive financing cycles:** On July 13, Z.ai completed an H-share equity placement by raising HK\$31.4bn (US\$4bn) with 4.25% dilution. The company aims to allocate 55% (US\$2.2bn) of the funding to model training and compute expansion. Meanwhile, a potential A-share listing could provide another Rmb15bn in funding. With more funding, the company could generate more revenue from expanded compute and further reinvest into model training, forming a positive development cycle.

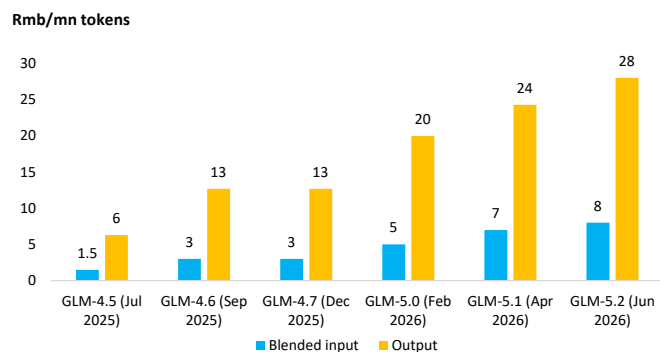
Downside risk - will Chinese governments curb AI model exports? Reuters on July 7 reported that the Chinese government is looking to curb overseas access to China's top AI models with Bytedance, Alibaba and Z.ai specified. We don't think this is material for multiple reasons. The Chinese government has always encouraged exports of high tech,

including AI. Data security issues exist in out-reaching access to foreign models rather than incoming access to domestic models. Most Chinese models are open-weight, and technically open-weight models can't be "curbed" for access. Only Bytedance, Alibaba and Z.ai were mentioned, and not DeepSeek or Moonshot, which are also considered current tier one players in China. However, we believe the greater downside risk is from the US government side.

Z.ai's future roadmap: In Z.ai's internal letter released on July 11, Jie Tang pointed out the company's focus on AGI with next few technology milestones to cross from long-horizon tasks, autonomous agent system to self-evolving. With these targets, Z.ai released the "Touch High" plan to prioritize AGI targets over short-term commercialization, strategically investing in long-horizon tasks, autonomous agent system, fully self training and extreme security governance, at the same time remaining open-weight to support ecosystem development.

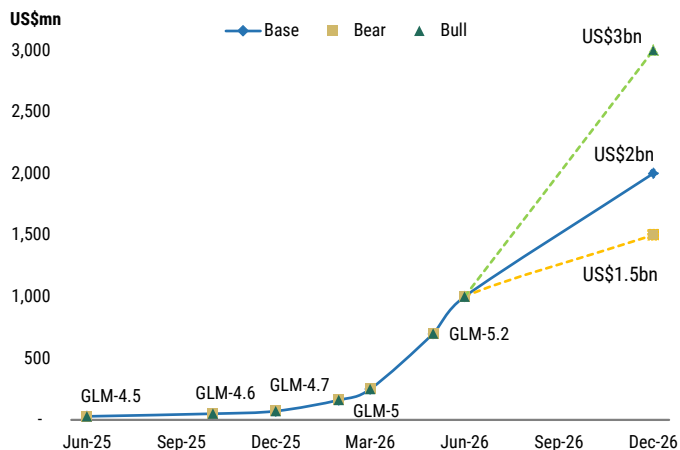
ARR and valuation: Z.ai disclosed that its ARR already hit its full-year target of US\$1bn in 1H26. We expect Z.ai's ARR growth to accelerate after GLM5.2's launch, together with inference compute supply expansion in 2H26. We raise our 2026 ARR estimate from US \$1bn to US\$2bn. Our 2026 bull and bear case ARR estimates are US\$3bn and US\$1.5bn, respectively. Our bull base reflects Z.ai's greater than expected compute expansion, especially overseas, while our bear case incorporates intensified competition whereby competitors launch better models with lower prices.

Exhibit 10: Z.ai model price trend



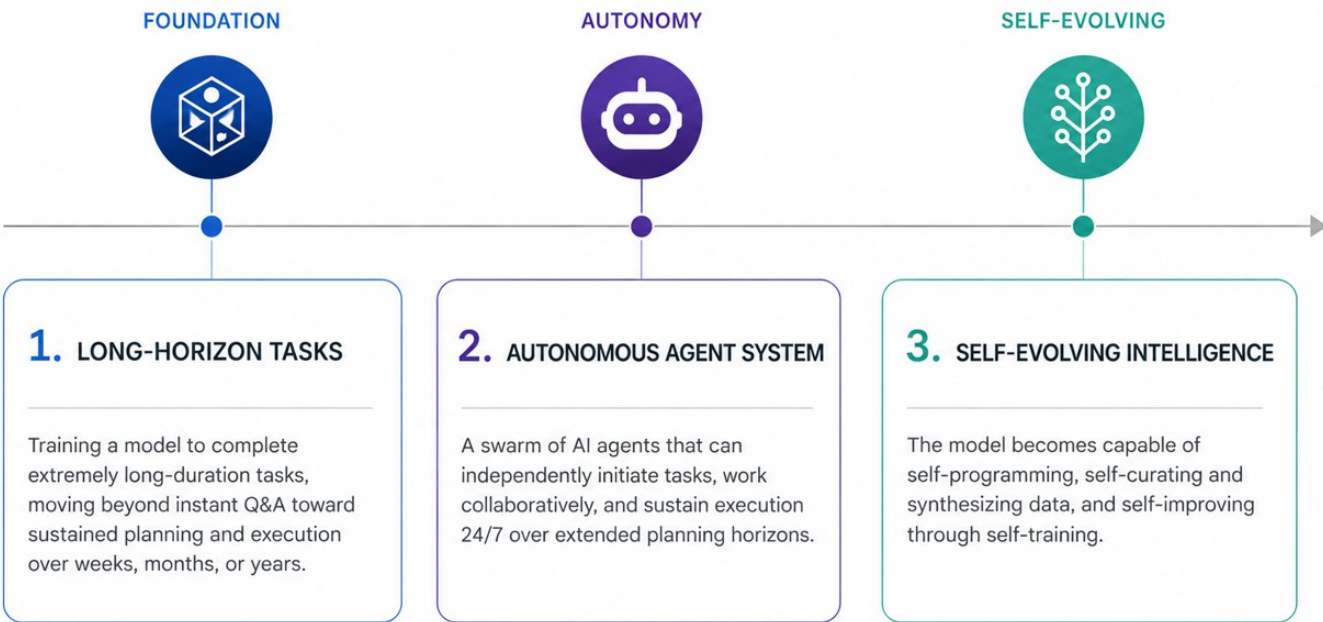
Source: Company data, Morgan Stanley Research, Input price blended with all context length

Exhibit 11: Z.ai ARR estimates



Source: Morgan Stanley Research estimates

Exhibit 12:
Z.ai three-step AI development roadmap



Source: Company data, Morgan Stanley Research

MiniMax: Why We Remain Optimistic

What has been priced in: disappointment in M3 release and large-volume unlock.

MiniMax's share price rose 38% since IPO, significantly underperforming Z.ai especially after M3 was released on Jun 1. Despite M3 also achieving high ranking, it benchmarks with good agentic and full-modality understanding capabilities; its small size (428B total parameters and 23 active parameters), doubled price vs. M2.7 and relative shortage in coding has triggered negative feedback from developer communities, leading to a drop in share price to the trough by 77% since Jun 1. In addition, MiniMax's cornerstone and pre-IPO investor unlock on Jul 8 released 10x free float (from 5.44% of total shares to 54.38% of total shares), leading to greater selling pressure.

However, we are not as negative on MiniMax:

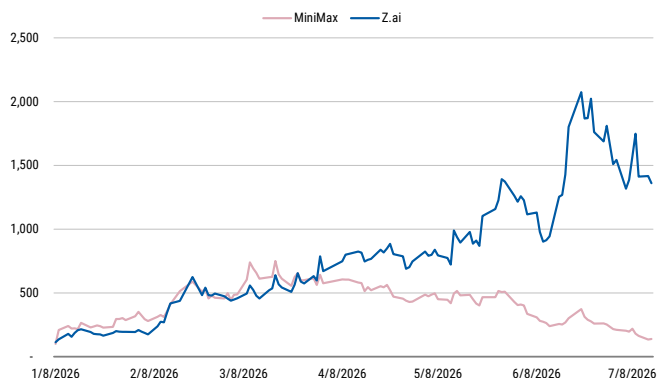
1. **Multiple new LLM upgrades to be released:** We view M3 more as an experimental LLM to test new architecture (MiniMax Sparse Attention) before scaling up to large-size models. The experiment has been successful in terms of inference efficiency improvement in a longer context length at 1M tokens, and we expect the M3 series model to generate higher gross margin than M2 series despite API price ending up the same with the M2 series. Although the current M3 is less than a full version model, we expect the company to release an upgrade in Jul-Aug with progressive post-training to enhance coding capability. MiniMax announced that the M3 Pro with 2.7T total parameters will come out in Sep-Oct, which should deliver advanced performance being the largest Chinese LLM so far, as well as demonstrating pricing power.
2. **LLM is more than coding:** We believe coding is the first AI scenario that has crossed the technology tipping point and commercialization inflection point. And coding capability is one of the most important capabilities of LLMs due to its strong generalization feature as well as being the foundation of model self-evolving. However, we believe LLM will penetrate into more productivity scenarios, expanding from the programmer market to the broader knowledge worker market including law, finance, consulting and healthcare, which can't be simply satisfied with coding capability. MiniMax has been focusing on vertical industry training data and its 10x Team initiative (kick-started in May 2026) has been recruiting experts from various industries. The company could potentially stand out when AI competition shifting from coding to other verticals.
3. **Multi-modality is underappreciated:** Capital markets' attention appears fully allocated to LLMs rather than multi-modal models. And MiniMax has suspended its multi-modal model releases since Hailuo 2.3 in Oct 2025 to concentrate investment in next generation development, which has created a lull in its multi-modality update. However, we believe the multi-modality market, and especially the video model market, bears substantial commercial value with less competition compared to LLM markets. [MiniMax's H3](#) released in July 2026 has outperformed global peers and received positive feedback. We expect H3 to re-accelerate MiniMax's multi-modality ARR growth.
4. **Positive financing cycles:** On July 10, MiniMax announced plans to conduct an equity placement by raising HK\$9.5bn (US\$1.2bn) with 10.19% dilution. At the same time, it launched a 1-year convertible bond issuance to raise HK\$6.5bn (US

\$0.8bn) at a conversion price of HK\$335. The company aims to allocate 80% (US \$1.6bn) of the placement and CB funding to model training and inference compute expansion, and 10% to accelerate Harness products global commercialization as well as development. A potential A-share listing could further expand the funding channels. With more funding, the company could generate more revenue from expanded compute and further reinvest into model training, forming a positive development cycle.

Managements remains AGI-driven: MiniMax's founder and CTO Dr. Yan Junjie stated in an internal letter on July 10 that he will not claim salary until the company reaches AGI. And over the next four years, he would also donate 4% of the company's shares from his personal accounts to incentivize company employees, as well as 1% of the company's shares to establish a special fund to support open community development.

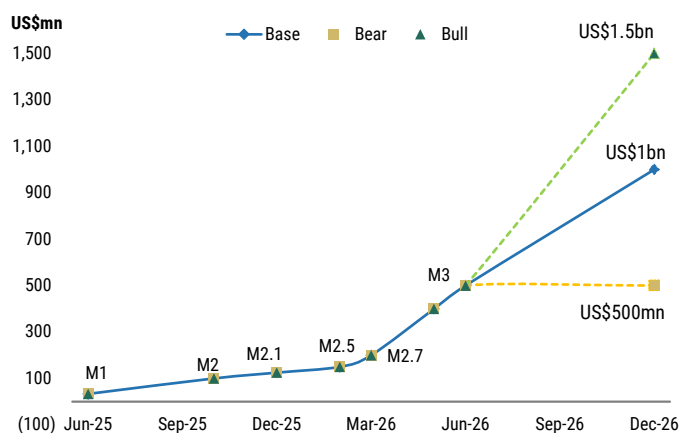
ARR and valuation: We expect H3 and M3 Pro to be the major ARR growth drivers for MiniMax in 2026. However, since both models are to be released in 3Q26, their ARR contribution in 2026 will be limited. We maintain our 2026 ARR estimate for MiniMax at US\$1bn (vs. company guidance at US\$1bn+). Our bull and bear case 2026 ARR estimates are US\$1.5bn and US\$500mn, respectively. Our bull case reflects MiniMax launching SOTA LLM models. Our bear case incorporates intensified competition whereby competitors launch better models with lower prices.

Exhibit 13: Share price performance index since IPO



Source: Factset, Morgan Stanley Research

Exhibit 14: MiniMax ARR estimates



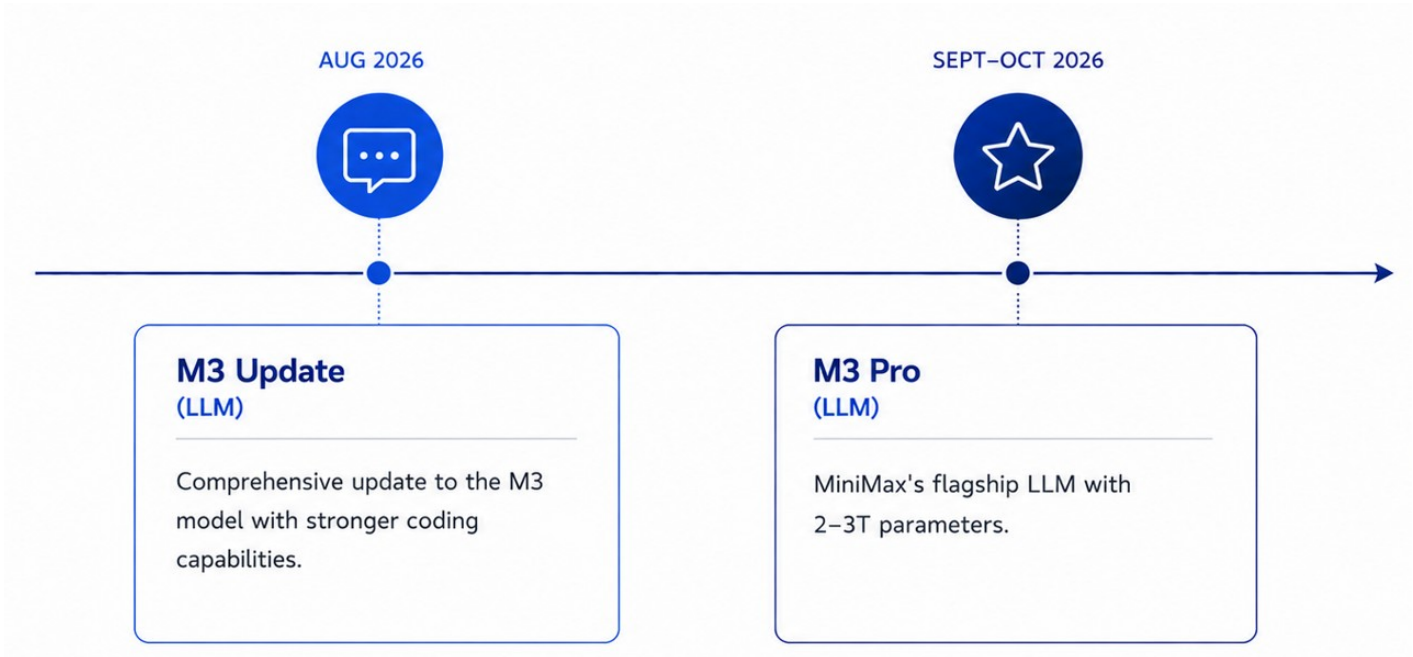
Source: Morgan Stanley Research estimates

Exhibit 15:
Leading video model comparison

Vendor	Bytedance		MiniMax	Kuaishou	Alibaba
Model	Seedance 2.5	Seedance 2.0	H3	Kling 3.0 Turbo	happyhorse 1.1
Release	Jul-26	Feb-26	Jul-26	Feb-26	Jun-26
License	Proprietary	Proprietary	Open	Proprietary	Proprietary
Max resolution	720P	4K	2K	1080P	1080P
Max length (s)	30	15	15	15	15
Rmb/s (720P)	4.0	1.8	0.5	0.8	0.9
Artificial Analysis global ranking					
Text to video	n.a	3	2	7	5
Image to video	n.a	1	3	12	5
Video editing	n.a	5	1	7	n.a

Source: Company data, Artificial Analysis, Morgan Stanley Research

Exhibit 16: MiniMax future model pipeline



Source: Company data, Morgan Stanley Research

What's Changed

Company

Z.ai

Estimate revisions

We raise our revenue forecasts by 37.3%, 53.1% and 56.7% for 2026, 2027, and 2028, respectively, to reflect better ARR growth expectations driven by GLM-5 series. Our operating loss estimates are changed by -2.6%, +9.5% and -556.5% as a mixed result of high revenue forecasts and higher R&D expenses forecasts. All told, our non-IFRS EPS forecasts are revised by -5.2%, -4.1% and +127.6%.

MiniMax

We increase our revenue forecasts by 104.2%, 71.1% and 99.2% for 2026, 2027, and 2028, respectively, to reflect better ARR growth expectation driven by the M3 and H3 series. Our non-IFRS operating loss estimates widen by 15.1%, 39.7% and 49.8% as a mixed result of high revenue forecasts and higher R&D expenses forecasts. All told, our loss per share forecasts are revised by +7.9%, +4.1% and +75.9%.

Exhibit 17: Estimate revisions: Z.ai

Years Ending December 31 Rmb mn	New			Old			% change		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Total revenue	5,256	15,374	36,850	3,828	10,044	23,523	37.3%	53.1%	56.7%
Gross profit	1,790	5,733	15,304	1,362	3,868	9,973	31.4%	48.2%	53.5%
Operating profit/(loss) - MS denifition	(4,190)	(4,071)	852	(4,300)	(3,716)	(187)	-2.6%	9.5%	-556.5%
Profit/(loss) before tax	(4,173)	(3,775)	1,090	(4,281)	(3,694)	(216)	-2.5%	2.2%	-604.7%
Net profit/(loss) attributable to equity holders	(4,153)	(3,755)	1,100	(4,261)	(3,674)	(206)	-2.5%	2.2%	-634.0%
EPS (Non-IFRS)	(7.50)	(5.84)	5.40	(7.91)	(6.09)	2.37	-5.2%	-4.1%	127.6%
Price target	1,700.0			990.0			71.7%		

Source: Morgan Stanley Research (E) estimates

Exhibit 18: Estimate revisions: MiniMax

Years Ending December 31 US\$ '000	New			Old			% change		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Total revenue	398,946	1,197,635	2,991,273	195,418	699,818	1,501,965	104.2%	71.1%	99.2%
Gross profit	113,907	431,631	1,194,701	41,795	222,573	662,156	172.5%	93.9%	80.4%
Operating profit/(loss) - MS denifition	(632,332)	(787,516)	(610,938)	(549,428)	(570,263)	(411,754)	15.1%	38.1%	48.4%
Operating profit/(loss) - MS denifition (Non-IFRS)	(553,029)	(676,493)	(455,505)	(480,574)	(484,195)	(304,170)	15.1%	39.7%	49.8%
Profit/(loss) before tax	(616,704)	(684,137)	(525,750)	(534,646)	(531,876)	(388,272)	15.3%	28.6%	35.4%
Net profit/(loss)	(616,704)	(684,137)	(525,750)	(534,646)	(531,876)	(388,272)	15.3%	28.6%	35.4%
Net profit/(loss) (Non-IFRS)	(537,402)	(573,114)	(370,318)	(465,792)	(445,808)	(280,687)	15.4%	28.6%	31.9%
EPS	(1.86)	(1.96)	(1.51)	(1.72)	(1.88)	(0.86)	7.9%	4.1%	75.9%
Price target	900.0			1,100.0			-18.2%		

Source: Morgan Stanley Research (E) estimates

Valuation

Company

Z.ai

Valuation methodology

Raising PT by 72% to HKD 1,700: We apply discounted cash flow (DCF) methodology to value the company, assuming a 15% WACC and 3% terminal growth. Our DCF assumptions are unchanged. Our PT increase is driven by financial estimate revisions. Our price target implies 42x P/S for 2027.

MiniMax

Cutting PT by 18% to HKD900. We apply discounted cash flow (DCF) methodology to value the company, assuming a 15% WACC and 3% terminal growth. Our DCF assumptions are unchanged. Our PT reduction is driven by financial estimate revisions. Our PT implies 32x P/S for 2027.

Years Ending December 31 Rmb mn	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
DCF													
Operating profit (IFRS)	(616)	(2,541)	(3,780)	(4,190)	(4,071)	852	13,245	34,226	60,276	94,310	132,934	169,343	194,371
D&A	69	280	281	226	188	166	155	153	157	167	180	196	215
Capex paid	(509)	(133)	(23)	(27)	(31)	(35)	(40)	(46)	(53)	(60)	(67)	(74)	(82)
Lease payments	(39)	(178)	(211)	(176)	(153)	(138)	(130)	(129)	(131)	(138)	(148)	(160)	(174)
Taxes	-	-	-	-	-	-	(2,384)	(6,161)	(10,850)	(16,976)	(23,928)	(30,482)	(34,987)
Non-controlling interests	(0)	2	20	20	20	10	-	-	-	-	-	-	-
Working capital	(96)	(0)	704	1,425	1,454	3,009	2,866	3,552	5,382	3,160	4,357	415	125
Unlevered FCF (FCFF)	(1,191)	(2,570)	(3,008)	(2,722)	(2,592)	3,863	13,711	31,595	54,781	80,463	113,328	139,239	159,469
WACC				15.0%									
TGR				3.0%									
Year				-	1.00	2.00	3.00	4.00	5.00	6.00	7.00	8.00	9.00
NPV of FCFF				223,222	259,297	294,329	324,766	341,887	338,389	308,684	241,659	138,668	-
Discounted terminal value				389,091	447,454	514,572	591,758	680,522	782,600	899,990	1,034,989	1,190,237	1,368,772
Enterprise value				612,313	706,752	808,901	916,525	1,022,409	1,120,989	1,208,674	1,276,647	1,328,905	1,368,772
Enterprise value (US\$ mn)				90,713	104,704	119,837	135,781	151,468	166,072	179,063	189,133	196,875	202,781
Net cash/(debt)				32,299	31,065	36,654	52,553	86,943	145,326	230,424	349,644	496,277	664,794
Financial assets				-	-	-	-	-	-	-	-	-	-
Equity value				644,612	737,817	845,555	969,078	1,109,352	1,266,314	1,439,099	1,626,292	1,825,182	2,033,566
Equity value (US\$ mn)				95,498	109,306	125,267	143,567	164,348	187,602	213,200	240,932	270,397	301,269
No of shares ('000)				466	466	466	466	466	466	466	466	466	466
FX rate (HK\$/Rmb)				1.15	1.15	1.15	1.15	1.15	1.15	1.15	1.15	1.15	1.15
Value per share (HK\$)				1,593.61	1,826.37	2,093.07	2,398.83	2,746.06	3,134.61	3,562.31	4,025.68	4,518.01	5,033.84
Target NTM EV/S				39.8	19.2	11.2	7.7	5.8	4.5	3.8	3.3	3.2	
Target NTM P/S				41.9	20.0	11.7	8.2	6.3	5.1	4.5	4.3	4.3	
Price target (HK\$)					1,700.00								
	Rev (2027e)	P/S	US\$ mn										
Bull case	33,750	40	200,000	3,340									
Bear case	13,500	20	40,000	670									

Exhibit 20: DCF valuation: MiniMax

Years Ending December 31 US\$ '000	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
DCF													
Operating profit (IFRS)	(101,298)	(286,620)	(321,401)	(632,332)	(787,516)	(610,938)	195,570	1,786,333	3,562,052	5,868,173	8,416,227	10,679,542	11,997,180
D&A	811	1,901	2,679	2,726	3,224	3,767	4,371	5,052	5,804	6,620	7,491	8,405	9,352
Capex paid	(697)	(759)	(1,188)	(1,428)	(1,643)	(1,889)	(2,172)	(2,498)	(2,848)	(3,218)	(3,604)	(4,001)	(4,401)
Lease payments	(757)	(1,506)	(2,222)	(2,236)	(2,417)	(3,073)	(4,557)	(5,316)	(4,015)	(4,557)	(5,133)	(5,734)	(6,350)
Taxes	-	-	-	-	-	-	-	-	(641,169)	(1,056,271)	(1,514,921)	(1,922,318)	(2,159,492)
Working capital	25,900	13,716	6,255	174,602	(32,180)	156,424	(157,924)	(42,120)	(115,696)	(166,703)	(198,491)	(169,178)	(82,924)
Unlevered FCF (FCFF)	(76,041)	(273,268)	(315,877)	(458,668)	(820,531)	(455,340)	36,772	1,743,251	2,804,129	4,644,044	6,701,569	8,586,718	9,753,365
% YoY	495.4%	259.4%	15.6%	45.2%	78.9%	-44.5%	-108.1%	4640.7%	60.9%	65.6%	44.3%	28.1%	13.6%
% of revenue	-2197.7%	-895.3%	-399.7%	-115.0%	-68.5%	-15.2%	0.6%	17.5%	18.7%	22.2%	24.6%	26.3%	27.1%
WACC				15.0%									
TGR				3.0%									
Year				-	1.00	2.00	3.00	4.00	5.00	6.00	7.00	8.00	9.00
NPV of FCFF				11,463,873	14,003,985	16,559,922	19,007,138	20,114,958	20,328,073	18,733,240	14,841,656	8,481,187	-
Discounted terminal value				23,797,421	27,367,035	31,472,090	36,192,903	41,621,839	47,865,114	55,044,882	63,301,614	72,796,856	83,716,384
Enterprise value				35,261,295	41,371,019	48,032,012	55,200,041	61,736,797	68,193,187	73,778,121	78,143,270	81,278,043	83,716,384
Net cash/(debt)				2,570,497	1,964,471	1,749,864	2,067,560	4,161,885	7,421,024	12,673,073	20,184,534	29,832,637	40,939,054
Financial assets				-	-	-	-	-	-	-	-	-	-
Equity value				37,831,792	43,335,490	49,781,876	57,267,602	65,898,682	75,614,211	86,451,194	98,327,804	111,110,680	124,655,438
No of shares ('000)				349,235	349,235	349,235	349,235	349,235	349,235	349,235	349,235	349,235	349,235
FX rate (HK\$/US\$)				7.78	7.77	7.77	7.77	7.77	7.77	7.77	7.77	7.77	7.77
Value per share (HK\$)				842.79	964.15	1,107.58	1,274.12	1,466.15	1,682.31	1,923.42	2,187.66	2,472.06	2,773.41
Target NTM EV/S				29.44	13.83	8.03	5.53	4.12	3.25	2.71	2.39	2.26	16.00
Target NTM P/S				31.59	14.49	8.32	5.74	4.40	3.61	3.17	3.01	3.09	15.50
Price target (HK\$)				900.00									
	Rev (2027e)	P/S	US\$ '000										
Bull case	2,500,000	40	100,000,000	2,230									
Bear case	500,000	20	10,000,000	220									

MORGAN STANLEY RESEARCH

Financial Summary

Exhibit 21: Financial summary: Z.ai

Years Ending December 31	2025	2026E	2027E	2028E
Rmb mn				
INCOME STATEMENT (IFRS)				
On-premise deployment	534	1,068	1,762	2,819
Cloud-based deployment	190	4,188	13,612	34,030
Total revenue	724	5,256	15,374	36,850
On-premise deployment	261	534	969	1,692
Cloud-based deployment	36	1,257	4,764	13,612
Gross profit	297	1,790	5,733	15,304
% GP margin	41.0%	34.1%	37.3%	41.5%
S&M expenses	391	528	739	997
R&D expenses	3,180	4,771	8,110	12,165
G&A expenses	505	682	955	1,289
Total operating expenses	4,077	5,981	9,804	14,452
Operating profit/(loss) - MS definition	(3,780)	(4,190)	(4,071)	852
% OP margin	-521.9%	-79.7%	-26.5%	2.3%
Non-operating items	(938)	17	296	238
Interest income	15	23	323	311
Finance costs	(74)	(30)	(24)	(21)
Share of profits/(losses) of associates	55	55	55	55
Other income	0	-	-	-
Impairment losses on financial assets	(22)	(30)	(58)	(106)
Changes in FV (FVPL)	25	-	-	-
Changes in the carrying amount of financial instruments issued to investors	(937)	-	-	-
Profit/(loss) before tax	(4,718)	(4,173)	(3,775)	1,090
% PBT margin	-651.4%	-79.4%	-24.6%	3.0%
Income tax expense	-	-	-	-
% of PBT	0.0%	0.0%	0.0%	0.0%
Non-controlling interests	(20)	(20)	(20)	(10)
Net profit/(loss) attributable to equity holders	(4,698)	(4,153)	(3,755)	1,100
% NP margin	-648.6%	-79.0%	-24.4%	3.0%
EPS	(19.95)	(7.50)	(5.84)	5.40
INCOME STATEMENT (NON-IFRS)				
Total revenue	724	5,256	15,374	36,850
Gross profit	297	1,790	5,733	15,304
Operating profit/(loss)	(3,222)	(3,436)	(3,016)	2,276
Adjusted EBITDA	(2,941)	(3,211)	(2,828)	2,442
Net profit/(loss)	(3,182)	(3,419)	(2,720)	2,514
% margin				
Gross profit	41.0%	34.1%	37.3%	41.5%
Operating profit/(loss)	-444.8%	-65.4%	-19.6%	6.2%
Adjusted EBITDA	-406.0%	-61.1%	-18.4%	6.6%
Net profit/(loss)	-439.3%	-65.0%	-17.7%	6.8%

Years Ending December 31	2025	2026E	2027E	2028E
Rmb mn				
BALANCE SHEET				
Cash at bank and on hand	2,255	32,299	31,065	36,654
Time deposits	109	-	-	-
Restricted cash	4	4	4	4
Contract assets	2	3	5	9
Trade and other receivables	699	1,229	2,468	4,257
Inventories and contract costs	126	252	415	664
Short-term investments (FVPL)	377	-	-	-
Current assets	3,571	33,787	33,958	41,588
PP&E	656	514	422	365
Intangible assets	51	53	56	61
Goodwill	39	39	39	39
Interests in associates	338	393	448	503
Other non-current assets	198	416	856	1,584
Time deposits	-	-	-	-
Non-current assets	1,282	1,415	1,821	2,553
Total assets	4,854	35,202	35,779	44,140
Bank loans and convertible bonds	605	-	-	-
Trade and other payables	1,329	3,330	6,259	11,493
Contract liabilities	149	297	491	785
Lease liabilities	251	251	251	251
Financial instruments issued to investors	10,073	-	-	-
Current liabilities	12,406	3,878	7,001	12,529
Lease liabilities	294	205	144	106
Deferred revenue	180	360	594	951
Non-current liabilities	559	565	738	1,057
Total liabilities	12,965	4,443	7,740	13,586
Non-controlling interests	(18)	(38)	(58)	(68)
Share capital	40	47	47	47
Share premium	-	42,283	42,283	42,283
Other reserves	(3,724)	(2,970)	(1,915)	(490)
Accumulated losses	(4,409)	(8,562)	(12,317)	(11,217)
Total shareholder equities/deficits	(8,093)	30,798	28,098	30,622
Total liabilities and equities/deficits	4,854	35,202	35,779	44,140
CASH FLOW STATEMENT				
Operating cash flow	(2,246)	(1,764)	(1,051)	5,762
Investing cash flow	(376)	459	(31)	(35)
Financing cash flow	2,614	31,349	(153)	(138)
Other adjustments	(5)	-	-	-
Net changes in cash	(13)	30,044	(1,234)	5,588
Operating cash flow	(2,246)	(1,764)	(1,051)	5,762
Purchase/disposal of PP&E	(11)	(13)	(15)	(17)
Purchase/disposal of wealth management products	(312)	377	-	-
Lease payments	(211)	(176)	(153)	(138)
Cash burn	(2,781)	(1,576)	(1,218)	5,606

Source: Company data, Morgan Stanley Research (E) estimates

Exhibit 22: Financial summary: MiniMax

Years Ending December 31 US\$ '000	2025	2026E	2027E	2028E
INCOME STATEMENT (IFRS)				
MiniMax Agent	1,062	11,942	41,797	200,624
Hailuo AI	24,945	100,312	214,416	523,627
MiniMax Audio	1,592	11,146	23,824	58,181
Talkie/Xingye	25,476	75,632	137,929	220,686
AI-native products	53,075	199,031	417,966	1,003,118
Open Platform and other AI-based enterprise services	25,963	199,915	779,669	1,988,156
Total revenue	79,038	398,946	1,197,635	2,991,273
AI-native products	3,463	9,952	41,797	200,624
Open Platform and other AI-based enterprise services	16,616	103,956	389,834	994,078
Gross profit	20,079	113,907	431,631	1,194,701
% GP margin	25.4%	28.6%	36.0%	39.9%
S&M expenses	51,896	98,602	138,043	193,261
R&D expenses	252,771	581,373	988,335	1,482,502
G&A expenses	36,813	66,263	92,769	129,876
Total operating expenses	341,480	746,239	1,219,147	1,805,639
Operating profit/(loss) - MS denifition	(321,401)	(632,332)	(787,516)	(610,938)
% OP margin	-406.6%	-158.5%	-65.8%	-20.4%
Non-operating items	(1,550,216)	15,628	103,379	85,187
Other income and gains, net	40,369	16,595	103,481	85,300
Finance costs	(672)	(967)	(102)	(113)
FV loss on financial liabilities	(1,589,850)	-	-	-
Impairment losses on financial assets, net	(63)	-	-	-
Profit/(loss) before tax	(1,871,617)	(616,704)	(684,137)	(525,750)
% PBT margin	-154.6%	-57.1%	-17.6%	4.6%
Income tax expense	-	-	-	-
% of PBT	0.0%	0.0%	0.0%	0.0%
Net profit/(loss)	(1,871,617)	(616,704)	(684,137)	(525,750)
% NP margin	-2368.0%	-154.6%	-57.1%	-17.6%
EPS	(17.23)	(1.86)	(1.96)	(1.51)
INCOME STATEMENT (NON-IFRS)				
Total revenue	79,038	398,946	1,197,635	2,991,273
Gross profit	20,079	113,907	431,631	1,194,701
Operating profit/(loss) - MS denifition	(290,490)	(553,029)	(676,493)	(455,505)
Adjusted EBITDA - MS denifition	(287,811)	(550,303)	(673,268)	(451,738)
Net profit/(loss)	(250,856)	(537,402)	(573,114)	(370,318)
EPS	(2.31)	(1.62)	(1.64)	(1.06)
% margin				
Gross profit	25.4%	28.6%	36.0%	39.9%
Operating profit/(loss) - MS denifition	-367.5%	-138.6%	-56.5%	-15.2%
Adjusted EBITDA - MS denifition	-364.1%	-137.9%	-56.2%	-15.1%
Net profit/(loss)	-317.4%	-134.7%	-47.9%	-12.4%

Years Ending December 31 US\$ '000	2025	2026E	2027E	2028E
BALANCE SHEET				
Cash and cash equivalents	507,621	3,403,831	2,797,804	2,583,197
Time deposits	13,787	-	-	-
Restricted cash	20,377	20,377	20,377	20,377
Financial assets (amortized cost)	-	-	-	-
Financial assets (FVPL)	438,525	-	-	-
Trade receivables	10,730	87,640	207,667	529,907
Prepayments, other receivables and other assets	16,319	47,060	97,942	188,194
Current assets	1,007,359	3,558,908	3,123,790	3,321,676
PP&E	1,571	2,018	2,463	2,928
Right-of-use assets	2,357	2,763	3,209	3,710
Restricted cash	41	41	41	41
Financial assets (FVPL)	69,965	-	-	-
Financial assets (FVOCI)	6,224	-	-	-
Prepayments, other receivables and other assets	887	2,558	5,324	10,229
Non-current assets	81,045	7,379	11,036	16,908
Total assets	1,088,404	3,566,287	3,134,826	3,338,583
Bank borrowings and convertible bonds	35,452	833,333	833,333	833,333
Trade and bill payables	57,677	261,190	402,448	872,720
Other payables, accruals and other liabilities	34,068	113,724	113,131	215,769
Contract liabilities	7,541	8,295	9,125	10,037
Lease liabilities	1,318	1,326	1,433	1,604
Convertible redeemable preferred shares	3,597,566	-	-	-
Current liabilities	3,733,622	1,217,869	1,359,471	1,933,463
Lease liabilities	638	642	694	776
Other non-current liabilities	2,334	2,334	2,334	2,334
Non-current liabilities	2,972	2,976	3,028	3,110
Total liabilities	3,736,594	1,220,845	1,362,499	1,936,573
Share capital	-	-	-	-
Share premium	-	5,531,033	5,531,033	5,531,033
Share option reserve	35,269	114,571	225,595	381,027
Other reserves	1,280	1,280	1,280	1,280
Accumulated losses	(2,684,739)	(3,301,443)	(3,985,580)	(4,511,330)
Total shareholder equities/deficits	(2,648,190)	2,345,442	1,772,328	1,402,010
Total liabilities and equities/deficits	1,088,404	3,566,287	3,134,826	3,338,583
CASH FLOW STATEMENT				
Operating cash flow	(279,641)	(359,107)	(601,967)	(210,014)
Investing cash flow	72,261	527,073	(1,643)	(1,889)
Financing cash flow	423,342	2,728,244	(2,417)	(2,704)
Other adjustments	2,747	-	-	-
Net changes in cash	218,709	2,896,210	(606,027)	(214,607)
Operating cash flow	(279,641)	(359,107)	(601,967)	(210,014)
Capex	(1,188)	(1,428)	(1,643)	(1,889)
Lease payments	(2,222)	(2,236)	(2,417)	(2,704)
Cash burn	(283,051)	(362,771)	(606,027)	(214,607)

Source: Company, Morgan Stanley Research (E) estimates

Risk Reward – Z.AI CO., LTD. (2513.HK)

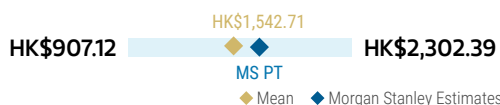
Global Frontier AI LLM

PRICE TARGET HK\$1,700.00

We apply discounted cash flow (DCF) methodology to value the company, assuming a 15% WACC and 3% terminal growth. Our price target implies 42x P/S for 2027.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART

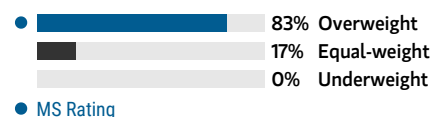


Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- Z.ai is exposed to the early-stage, fast-growing global AI foundation model market, focused on productivity scenarios, with a rising proportion of cloud revenue and improving model API pricing.
- We see positive signals reinforcing its leading position after the release of its latest flagship, GLM5.2.
- We project break-even in 2028 as revenue expansion outgrows R&D costs. We expect Z.ai's ARR growth to accelerate further after the launch of GLM5.2.
- Our DCF-derived price target implies 42x 2027e P/S, in line with global peer valuations.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Disruption: *Positive*
 New Data Era: *Positive*
 Secular Growth: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

HK\$3,340.00

40x 2027e P/S

Z.ai launches a global SOTA model with superior performance vs. peers and expands its customer base through cloud-based API sales with continuous price hikes, leading to non-linear revenue growth in 2027. Revenue of Rmb33.8bn in 2027.

BASE CASE

HK\$1,700.00

42x 2027e P/S

Z.ai consistently launches foundation models that match global SOTA model performance and expand its customer base, mainly through cloud-based API sales, leading to non-linear revenue growth in 2027. Revenue of Rmb15.4bn in 2027.

BEAR CASE

HK\$670.00

20x 2027e P/S

Z.ai fails to keep up with global SOTA model performance, leading to linear revenue growth rather than step-change growth in 2027. Revenue of Rmb13.5bn in 2027.

Risk Reward – Z.AI CO., LTD. (2513.HK)

KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Revenue growth (%)	131.9	625.7	192.5	139.7
GP Margin (%)	41.0	34.1	37.3	41.5

INVESTMENT DRIVERS

- Model performance iteration
- Rising cloud revenue
- Improving operating leverage

GLOBAL REVENUE EXPOSURE



- 10-20% APAC, ex Japan, Mainland China and India
- 80-90% Mainland China

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

RISKS TO PT/RATING

RISKS TO UPSIDE

- Launching global SOTA model
- Global expansion working with overseas CSP
- Easing market competition

RISKS TO DOWNSIDE

- Computing constraints
- Model performance lagging peers
- Geopolitical risk

OWNERSHIP POSITIONING

Inst. Owners, % Active 99.8%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e

Sales / Revenue (Rmb, mn) 4,680.0 15,374.2
(10,353.7)

EBIT (Rmb, mn) (8,134.0) (2,226.0)
(4,071)
(4,532.3)

Net income (Rmb, mn) (7,424.7) (1,367.5)
(3,755)
(3,872.2)

EPS (Rmb) (14.1) (2.9)
(5.8)
(8.6)

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – MiniMax (0100.HK)

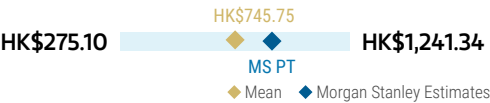
Global Omni-model Leader

PRICE TARGET HK\$900.00

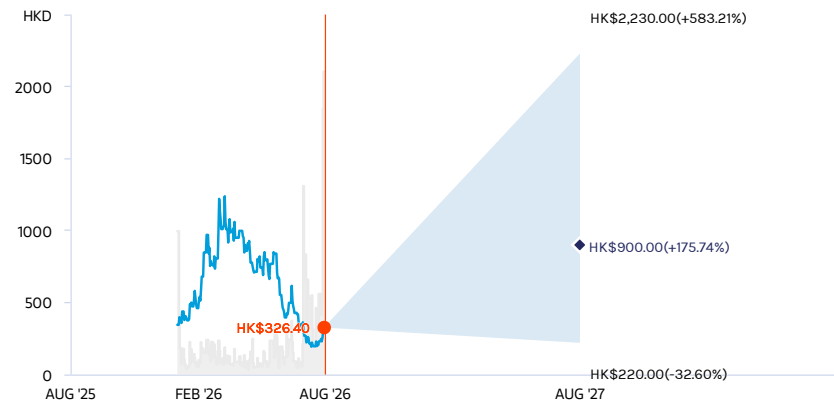
We use a discounted cash flow (DCF) methodology to value the company, assuming a 15% WACC and 3% terminal growth. Our PT implies 32x P/S for 2027.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



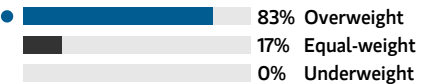
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- We see significant global opportunities for AI foundation models driven by model performance breakthroughs with non-linear market expansion potential.
- We like MiniMax's strong industry position based on advanced technology, full-modality capabilities, diverse AI applications and highly scalable business model.
- The stock currently trades at 12x 2027e P/S based on our estimates and our DCF-derived PT implies 32x 2027e P/S. We see upside in the stock's valuation.

Consensus Rating Distribution



MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

- Disruption: Positive
New Data Era: Positive
Secular Growth: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

HK\$2,230.00

40x 2027 P/S

MiniMax's next-generation model, to be launched in mid-2026, becomes the global SOTA model with superior performance vs. peers, leading to rising customer demand, expanding market share and potential price hikes. We project 2027 revenue of US\$2.5bn.

BASE CASE

HK\$900.00

32x 2027 P/S

MiniMax's next-generation model, to be launched in mid-2026, matches the performance of global SOTA models, leading to non-linear revenue growth in 2027. We project 2027 revenue of US\$1.2bn.

BEAR CASE

HK\$220.00

20x 2027 P/S

MiniMax's next-generation model, to be launched in mid-2026, fails to outperform peers in terms of performance, resulting in linear top-line revenue growth rather than step-change growth in 2027. We project 2027 revenue of US\$500mn.

Risk Reward – MiniMax (0100.HK)

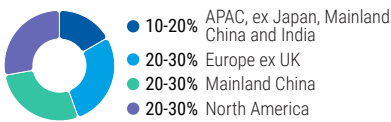
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Total revenue % (%)	158.9	404.8	200.2	149.8

INVESTMENT DRIVERS

- Model performance iteration
- Enhanced application monetization
- Improving operating leverage

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

RISKS TO PT/RATING

RISKS TO UPSIDE

- Launching global SOTA model
- Eased market competition

RISKS TO DOWNSIDE

- Geopolitical risk
- Intensified competition and price war
- Model performance lagging peers

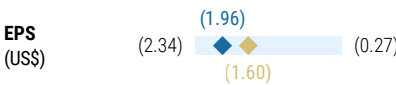
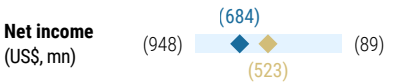
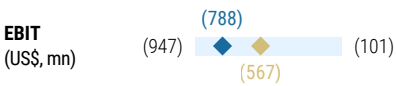
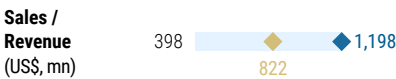
OWNERSHIP POSITIONING

Inst. Owners, % Active 99.6%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Valuation Methodology and Risks

Alibaba Group Holding (BABA.N)

Base case, discounted cash flow model. Key assumptions include a 10% WACC and 3% terminal growth rate, in line with our Chinese Internet coverage range.

Risks to Upside

- Better core e-commerce monetization, driving earnings growth upside
- Faster enterprise digitalization, re-accelerating cloud revenue growth
- Stronger AI demand to drive cloud revenue

Risks to Downside

- More intense competition
- Higher-than-expected reinvestment costs
- Weaker consumption amid a slower post-Covid recovery
- Slower pace of enterprise digitalization pace
- Regulation - additional scrutiny of Internet platforms

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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(as of July 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

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Stock Price, Price Target and Rating History (See Rating Definitions)

Alibaba Group Holding (BABA.N) - As of 08/09/26 GMT in USD
Industry : China Internet and Other Services



Stock Rating History: 8/1/21 : O/I; 9/20/21 : O/I; 12/1/23 : E/I; 2/24/25 : O/A

Price Target History: 7/6/21 : 270; 9/20/21 : 220; 11/19/21 : 180; 1/8/22 : 165; 2/25/22 : 145; 3/21/22 : 140; 9/29/22 : 110; 10/28/22 : 90; 11/18/22 : 100; 1/9/23 : 150; 11/17/23 : 110; 12/1/23 : 90; 1/8/24 : 85; 8/16/24 : 90; 10/9/24 : 115; 11/18/24 : 105; 1/9/25 : 100; 2/24/25 : 180; 7/9/25 : 150; 9/1/25 : 165; 9/29/25 : 200; 1/8/26 : 180; 5/14/26 : 190; 7/8/26 : 180

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

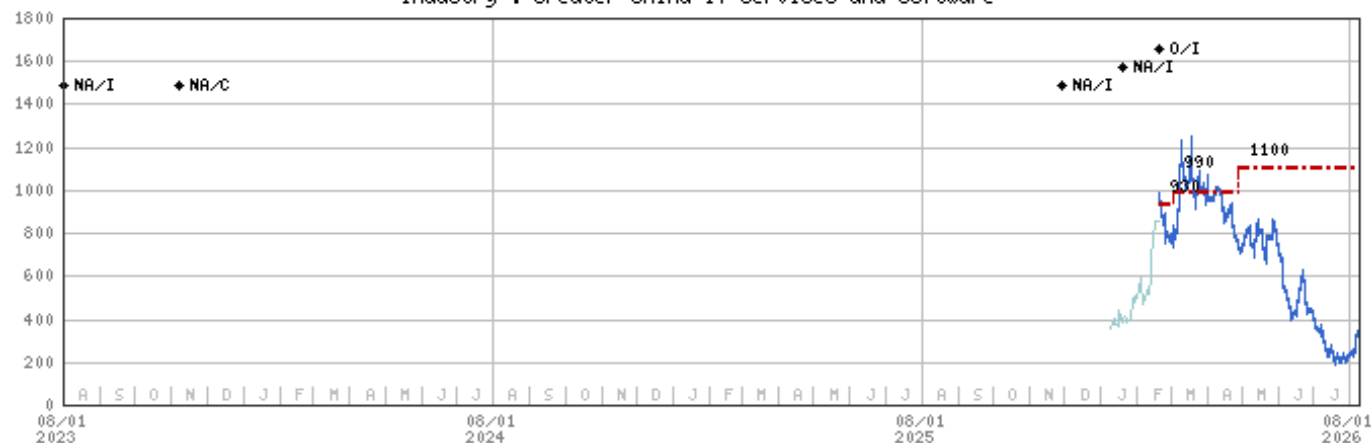
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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MiniMax (0100.HK) - As of 08/08/26 GMT in HKD
Industry : Greater China IT Services and Software



Stock Rating History: 8/1/21 : NA/I; 11/8/23 : NA/C; 11/28/25 : NA/I; 1/20/26 : NA/I; 2/20/26 : O/I

Price Target History: 1/20/26 : NA; 2/20/26 : 930; 3/3/26 : 990; 4/28/26 : 1100

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.



Stock Rating History: 2/20/26 : 0/I

Price Target History: 2/20/26 : 560; 4/28/26 : 990

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

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INDUSTRY COVERAGE: Greater China IT Services and Software

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/07/2026)
Gary Yu		
MiniMax (0100.HK)	O (02/20/2026)	HK\$326.40
Z.AI CO., LTD. (2513.HK)	O (02/20/2026)	HK\$1,246.00
Lydia Lin		
Beisen Holding Limited (9669.HK)	O (06/23/2025)	HK\$3.35
Chinasoft International Ltd (0354.HK)	U (05/04/2026)	HK\$3.63
Glodon Co. Ltd. (002410.SZ)	E (08/23/2023)	Rmb9.39
Hundsun Technologies Inc. (600570.SS)	U (04/07/2025)	Rmb22.77
Meitu Inc (1357.HK)	O (10/01/2024)	HK\$4.75
Yang Liu		
Beijing Kingsoft Office Software Inc (688111.SS)	U (08/26/2024)	Rmb265.65
Kingdee International Software Group (0268.HK)	O (08/03/2026)	HK\$8.55
Kingsoft Cloud Holdings (KC.O)	O (07/07/2026)	US\$12.33
Kingsoft Corp Ltd (3888.HK)	E (07/21/2025)	HK\$27.54
Sangfor Technologies Inc (300454.SZ)	E (07/05/2024)	Rmb122.94
Tuya Inc. (TUYA.N)	O (11/29/2023)	US\$1.80
Wangsu Science & Technology (300017.SZ)	U (11/12/2024)	Rmb15.46
Yonyou Network Technology Co Ltd (600588.SS)	U (11/12/2024)	Rmb11.72

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.